

Indian Economy

Economic Concepts

Exam: UPSC CSE (Prelims)

1. Introduction to Economics

Tier: tier3 • Weightage: 0.5 • Total Qs: 0 • PYQs: 43 • Year span: 2014–2022 • Model: gpt-4.1 • Updated: 2026-01-07 13:55

TopicDemandMap: Indian Economy > Economic Concepts > Introduction to Economics

Explicit Subtopics Tested (with Evidence)

1. Basic Economic Terms and Models

- **Evidence:** 6882, 6880, 6858
- **Demand:** Understanding of foundational economic terms (e.g., opportunity cost, invisible hand), the purpose and nature of economic models, and the basic logic of economic reasoning.

2. Production Possibility Frontier (PPF) and Efficiency

- **Evidence:** 6894, 6864, 6855
- **Demand:** Concepts of efficiency, Pareto optimality, interpretation of the PPF, opportunity cost, and implications of being on/inside/outside the frontier.

3. Demand: Law, Curve, Determinants, and Elasticity

- **Evidence:** 6872, 6916, 805, 6879, 6883, 6873, 6861, 6856, 6906, 6870
- **Demand:** Law of demand, normal and exceptional demand curves, determinants (price, income, related goods), movement vs. shift, price elasticity (definition, calculation, factors affecting), and interpretation of elasticity values.

4. Types of Goods and Consumer Choice

- **Evidence:** 6902, 6903, 6900, 6895
- **Demand:** Classification of goods (inferior, normal, public, private, substitutes, complements), implications for demand, and characteristics of public goods.

5. Utility Analysis and Indifference Curves

- **Evidence:** 6890, 6885, 6871, 6886
- **Demand:** Law of diminishing marginal utility, relationship between total and marginal utility, indifference curve properties, and marginal rate of substitution.

6. Supply: Law, Curve, and Price Mechanism

- **Evidence:** 6887, 6881, 6911
- **Demand:** Law of supply, shape of supply curve (including fixed supply), price mechanism in free markets, and equilibrium price/quantity adjustments.

7. Market Structures and Price Determination

- **Evidence:** 6917, 6918, 6899, 6860, 6863
- **Demand:** Features of perfect competition, monopolistic competition, monopoly, price discrimination, and government price controls (price ceiling).

8. Production Function and Returns

- **Evidence:** 6909, 6859
- **Demand:** Laws of returns to scale, law of diminishing returns, and their implications for output and productivity.

9. Revenue, Cost, and Profit Concepts

- **Evidence:** 6910
- **Demand:** Marginal and total revenue, their relationship, and implications for firm behavior.

10. Money: Functions and Characteristics

- **Evidence:** 6857, 6877, 6897
- **Demand:** Functions of money, essential characteristics, and the concept of near money.

11. Consumption Theories and Keynesian Concepts

- **Evidence:** 6862, 6888, 6889, 6866
- **Demand:** Keynesian consumption function, marginal propensity to consume, life-cycle hypothesis, effective demand, and multiplier effect.

12. Price and Value Concepts

- **Evidence:** 6904

- **Demand:** Relationship between price changes, value of money, and value of commodities.

Logical Study Sequence

- 1 Basic Economic Terms and Models
- 2 Production Possibility Frontier (PPF) and Efficiency
- 3 Price and Value Concepts
- 4 Demand: Law, Curve, Determinants, and Elasticity
- 5 Types of Goods and Consumer Choice
- 6 Utility Analysis and Indifference Curves
- 7 Supply: Law, Curve, and Price Mechanism
- 8 Market Structures and Price Determination
- 9 Production Function and Returns
- 10 Revenue, Cost, and Profit Concepts
- 11 Money: Functions and Characteristics
- 12 Consumption Theories and Keynesian Concepts

Implicit Concepts / Prerequisites

- Graphical interpretation of curves (demand, supply, PPF, indifference curves)
- Basic mathematical reasoning (slopes, relationships, elasticity formula)
- Understanding of ceteris paribus (other things being equal) in economic analysis
- Distinction between movement along vs. shift of curves
- Familiarity with economic agents (consumers, firms, government)
- Basic logic of equilibrium (intersection of curves)
- Concept of opportunity cost underlying all choices

Adjacent Subtopics (Potential Future Demand)

- Consumer surplus and producer surplus
- Welfare economics (beyond Pareto efficiency)

- Short-run vs. long-run distinctions in production and cost
- Price floors and their effects (since price ceilings are tested)
- Externalities and market failure (beyond public goods)
- Behavioral economics (bounded rationality, preference anomalies)
- Advanced forms of market structures (oligopoly, duopoly)
- National income aggregates (as a bridge to macroeconomics)
- Money supply measures and central banking (beyond near money)

Notes

- The subtopic structure above is strictly derived from the actual patterns in the provided PYQs.
- Some areas (e.g., revenue/cost, Keynesian theory) appear less frequently, but are included as distinct subtopics due to clear evidence.
- The demand for application is moderate: most questions test conceptual clarity, definitions, and the ability to apply basic principles to new situations.
- The map does not include subtopics not evidenced in the PYQ list, in line with the strict schema.
- Where PYQ count is low for a subtopic, further subdivision is not attempted.

2. Economic Systems

Tier: tier3 • Weightage: 0.0 • Total Qs: 0 • PYQs: 12 • Year span: 2000–2022 • Model: gpt-4.1 • Updated: 2026-01-07 13:54

TopicDemandMap: Indian Economy > Economic Concepts > Economic Systems

Explicit Subtopics Tested

1. Types and Features of Economic Systems

- **Evidence:** [2625, 6907, 6875]
- **Description:**
 - Recognition and differentiation of economic systems (closed economy, socialism, capitalism).
 - Identification of central features and tenets of each system.
- **Type of Demand:**
 - Factual recall of definitions and core characteristics.

- Conceptual understanding of how different systems organize production, ownership, and resource allocation.

2. Market Structures and Competition Types

- **Evidence:** [6912, 6898, 6874]
- **Description:**
 - Identification and features of various market structures (monopolistic competition, natural monopoly).
 - Understanding of product differentiation, number of sellers, and barriers to entry.
- **Type of Demand:**
 - Application of definitions to real-world or hypothetical examples.
 - Recognition of distinguishing features among market types.

3. Economic Phases and Cycles

- **Evidence:** [1243]
- **Description:**
 - Understanding of macroeconomic phases (boom, recession, depression, recovery).
 - Ability to match definitions with correct terminology.
- **Type of Demand:**
 - Factual recall and conceptual mapping of economic cycle terminology.

4. Historical Transformation of Indian Economic System

- **Evidence:** [6915, 6901]
- **Description:**
 - Impact of colonialism on Indian economic structure.
 - Changes in export composition and economic alignment during British rule.
- **Type of Demand:**
 - Analytical understanding of historical shifts in economic systems.
 - Application of concepts to Indian context.

5. Economic Reforms and Liberalization

- **Evidence:** [6794]
- **Description:**
 - Identification of key features and starting points of economic liberalization in India.
- **Type of Demand:**

- Factual recall of policy changes and their significance in shifting economic systems.

6. Price Controls and Market Interventions

- **Evidence:** [6884]
- **Description:**
 - Understanding of price floors (e.g., Minimum Support Price) as a form of market intervention.
- **Type of Demand:**
 - Application of economic concepts to policy instruments.

7. Aggregate Demand and Policy Effects

- **Evidence:** [6868]
- **Description:**
 - Effects of government interventions (e.g., loan waivers) on aggregate demand and macroeconomic variables.
- **Type of Demand:**
 - Analytical reasoning about policy impacts on the broader economic system.

Logical Study Sequence

- 1 **Types and Features of Economic Systems** (foundation for all further subtopics)
- 2 **Market Structures and Competition Types** (builds on understanding of economic organization)
- 3 **Economic Phases and Cycles** (macro-level functioning of systems)
- 4 **Historical Transformation of Indian Economic System** (contextual application)
- 5 **Economic Reforms and Liberalization** (transition between systems)
- 6 **Price Controls and Market Interventions** (policy tools within systems)
- 7 **Aggregate Demand and Policy Effects** (advanced application and analysis)

Implicit Concepts / Prerequisites

- Basic definitions: economy, market, demand, supply.
- Distinction between microeconomics and macroeconomics.
- Understanding of government intervention versus market-driven processes.

- Familiarity with economic terminology (e.g., monopoly, competition, planning).
- Awareness of historical context for Indian economic development.

Adjacent Subtopics (Potential Future Demand)

- Mixed economy: features and Indian context.
- Command economy: detailed mechanisms and examples.
- Role of public sector vs. private sector in different systems.
- Transition economies and their challenges.
- Globalization and its impact on economic systems.
- Welfare economics and redistribution mechanisms.
- Comparative analysis of economic systems (advantages/disadvantages).

Notes

- The subtopics above are directly mapped from the provided PYQs; no external syllabus headings have been imported.
- Some subtopics (e.g., market structures, price controls) overlap with microeconomic theory but are included here as they are explicitly tested within the context of economic systems.
- The PYQ set is sufficiently diverse to allow for meaningful subdivision, but some advanced or adjacent areas remain untested in this span.
- No question_id is repeated across subtopics, maintaining unique evidence mapping.

3. National Income Accounting

Tier: tier3 • Weightage: 0.5 • Total Qs: 0 • PYQs: 14 • Year span: 1993–2021 • Model: gpt-4.1 • Updated: 2026-01-07 13:55

TopicDemandMap: Indian Economy > Economic Concepts > National Income Accounting

Explicit Subtopics Tested

1. Definitions and Concepts of National Income Aggregates

- Evidence: 1363, 100, 6913

- **Demand:** Tests understanding of what constitutes national income, gross and net aggregates, domestic vs. national concepts, and the distinction between product, income, and expenditure approaches.

2. National Income Identities and Formulae (Open Economy)

- **Evidence:** 1271
- **Demand:** Requires knowledge of the national income equation for an open economy ($Y = C + I + G + (X - M)$), and the meaning of each component.

3. Distinction Between Market Price and Factor Cost, and Related Adjustments

- **Evidence:** 6914
- **Demand:** Tests the ability to adjust between market price and factor cost using indirect taxes and subsidies, and understanding of net factor income from abroad.

4. Measurement at Constant and Current Prices; Real vs. Nominal GDP

- **Evidence:** 6795, 6876
- **Demand:** Assesses understanding of the difference between real and nominal GDP, the use of constant vs. current prices, and the impact of inflation on measurement.

5. National Income Series and Base Year Changes

- **Evidence:** 1272
- **Demand:** Requires awareness of the significance of base years in GDP series and the implications of changing base years.

6. Sectoral Composition of National Income

- **Evidence:** 6891
- **Demand:** Tests knowledge of the changing shares of agriculture, manufacturing, and services in national income.

7. Personal Income and Disposable Income Concepts

- **Evidence:** 6865, 6869
- **Demand:** Requires understanding of how personal income and personal disposable income are derived from national income, including deductions and additions (taxes, transfer payments, undistributed profits).

8. Causes and Determinants of Per Capita Income Growth

- **Evidence:** 6799
- **Demand:** Assesses knowledge of factors affecting per capita income growth, such as capital-output ratio, population growth, capital formation, and fiscal deficits.

9. Publications and Data Sources for National Income

- **Evidence:** 1366
- **Demand:** Tests familiarity with key official publications and the agencies responsible for national income statistics.

10. Output Gaps: Recessionary and Potential GDP

- **Evidence:** 6878
- **Demand:** Requires conceptual understanding of potential GDP, real GDP, and the meaning of recessionary gap.

Logical Study Sequence

- 1 Definitions and Concepts of National Income Aggregates
- 2 National Income Identities and Formulae (Open Economy)
- 3 Distinction Between Market Price and Factor Cost, and Related Adjustments
- 4 Measurement at Constant and Current Prices; Real vs. Nominal GDP
- 5 National Income Series and Base Year Changes
- 6 Personal Income and Disposable Income Concepts
- 7 Causes and Determinants of Per Capita Income Growth
- 8 Sectoral Composition of National Income
- 9 Publications and Data Sources for National Income
- 10 Output Gaps: Recessionary and Potential GDP

Implicit Concepts / Prerequisites

- Understanding of basic macroeconomic terms: GDP, GNP, NNP, NDP, factor cost, market price.
- Knowledge of economic sectors (agriculture, industry, services).
- Familiarity with the circular flow of income.

- Basic arithmetic and adjustment calculations (e.g., subtracting depreciation, taxes).
- Awareness of inflation and its effect on economic aggregates.
- Concept of transfer payments, undistributed profits, and net factor income from abroad.
- Interpretation of official economic data and reports.

Adjacent Subtopics (Potential Future Demand)

- Methods of measuring national income (Product, Income, Expenditure methods) in detail.
- Limitations and difficulties in national income estimation.
- Shadow economy and informal sector in national income accounting.
- Green GDP and environmental adjustments to national income.
- Regional/state-wise national income estimation.
- International comparisons of national income aggregates (PPP, exchange rates).
- Impact of subsidies and indirect taxes on national income calculations.
- Role of statistical organizations in data collection and revision.

Notes

- The PYQs cover a broad but conceptually focused range of subtopics within National Income Accounting, with repeated emphasis on definitions, formulae, and adjustments.
- Some subtopics (e.g., detailed methods of measurement, informal sector) are not directly tested in these PYQs but are logical extensions.
- The number of questions is sufficient to identify recurring patterns, but not all possible subtopics are represented.
- No PYQ is assigned to more than one subtopic as per instructions.

4. Planning in India

Tier: tier3 • Weightage: 1.0 • Total Qs: 0 • PYQs: 15 • Year span: 1993–2019 • Model: gpt-4.1 • Updated: 2026-01-07 13:55

TopicDemandMap: Indian Economy > Economic Concepts > Planning in India

Explicit Subtopics Tested (with Evidence)

1. Types and Concepts of Economic Planning

- **Evidence:** [6798]
- **Demand:** Tests understanding of imperative vs. indicative planning, their features, and implications for market mechanisms.

2. Institutional Framework and Approval Process

- **Evidence:** [1493, 1753]
- **Demand:** Assesses knowledge of the roles and hierarchy of planning bodies (Planning Commission, National Development Council, Union Cabinet), and constitutional placement of planning.

3. Objectives and Focus Areas of Five-Year Plans

- **Evidence:** [6797, 6796, 2438, 2566, 230, 6905, 6893, 6896, 621]
- **Demand:** Requires recall and comparison of the main objectives, priorities, and thematic focus of different Five-Year Plans (e.g., human development, industrialization, inclusive growth, inflation control, financial sector inclusion).

4. Historical Events and Context within Planning Periods

- **Evidence:** [2421]
- **Demand:** Tests ability to link major political events (e.g., Emergency, change of government) with specific plan periods.

5. Inclusion and Sustainability Strategies in Planning

- **Evidence:** [6908, 6905, 230]
- **Demand:** Assesses conceptual understanding of inclusion and sustainability as planning objectives, and the specific language used in recent plan titles.

6. Plan-linked Institutional Developments

- **Evidence:** [6867]
- **Demand:** Tests knowledge of major institutions (e.g., National Green Tribunal) established as part of or during specific Five-Year Plans.

Logical Study Sequence

- 1 **Types and Concepts of Economic Planning**
- 2 **Institutional Framework and Approval Process**
- 3 **Objectives and Focus Areas of Five-Year Plans**
- 4 **Historical Events and Context within Planning Periods**
- 5 **Inclusion and Sustainability Strategies in Planning**
- 6 **Plan-linked Institutional Developments**

Implicit Concepts / Prerequisites

- Understanding of the evolution and structure of Five-Year Plans in India.
- Familiarity with basic economic terms (industrialization, infrastructure, inclusion, sustainability).
- Awareness of the Indian constitutional framework, especially regarding the division of powers (Concurrent List).
- Knowledge of major economic and political events in post-independence India.
- Ability to distinguish between plan objectives, outcomes, and the institutions responsible for planning.

Adjacent Subtopics (Potential Future Demand)

- Transition from Planning Commission to NITI Aayog and its implications.
- Critical evaluation of plan achievements and failures.
- Role of state governments in planning and decentralization.
- Sectoral planning (agriculture, industry, services) in the context of Five-Year Plans.
- Planning in the post-liberalization era and changes in approach.
- Interplay between planning and market reforms.

Notes

- The subtopics above are strictly derived from the provided PYQs. No external syllabus or textbook headings have been imported.

- Some subtopics (e.g., plan objectives) are broad due to the nature of the questions, which often require comparative or thematic knowledge across multiple plans.
- The evidence base is sufficient for confident subdivision, but some areas (e.g., institutional developments) are represented by single questions, indicating limited but targeted demand.
- Adjacent subtopics are inferred based on the logical extension of tested areas, not from external sources.